

MANAGEMENT BRIEFING

FinOps: Gaining Visibility

The foundation of cloud financial management

Presented to
Executive Leadership

Date _____

Spend you can see



THE PROBLEM WE FACE

Cloud spend is dynamic, distributed and opaque



Costs move daily

Spend is dynamic and distributed across teams, services and regions.



Budgeting models don't fit

Traditional IT budgeting assumes fixed, predictable costs. Cloud is neither.



Engineers spend money

Technical decisions made daily carry direct, immediate financial consequences.



Bills arrive without context

Monthly invoices show what was spent — rarely who spent it, or why.

“When costs rise and no one can explain who owns the change or what caused it, visibility has failed — even if a dashboard is showing numbers.”

The result

Sticker shock, finger-pointing and reactive cost-cutting instead of strategic optimization.

DEFINITION

FinOps = Finance + DevOps

An operational framework and cultural practice for maximizing the business value of cloud investment. Not a cost-cutting programme — a way to make the financial impact of technical choices visible to everyone.



01

Inform

Build visibility. Understand who is spending what, where, and why.



02

Optimize

Act on the insight. Rightsize, eliminate waste, manage commitments.



03

Operate

Embed cost awareness into daily engineering and business process.

A continuous cycle, not a sequence of projects.

“Without visibility, nothing else in the practice works.”

WHY VISIBILITY FIRST

You cannot optimize what you cannot see

Four questions the organization must be able to answer before any meaningful optimization begins.

Which teams, products or features drive cloud spend?

Accountability

Is spend growing with the business — or faster than it?

Efficiency signal

Which resources are paid for but sitting unused?

Waste identification

Are costs allocated accurately enough to drive ownership?

Behaviour change

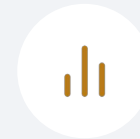
The risk of skipping visibility: optimization becomes reactive and superficial — blanket cost-cutting instead of targeted action against real waste.

What “good visibility” looks like



Cost allocation

Breakdown by team, product, environment or business unit. Depends entirely on a consistent tagging strategy.



Granular reporting

Breakdown by service, resource type and time period — this is what reveals trends, spikes and anomalies.



Unit economics

Cost per customer, per transaction, per active user. The measure of whether spend growth is healthy.



Near real-time data

Monthly reporting is too slow. Cost data must arrive with enough immediacy to respond to anomalies.

The goal

Move from *“IT is overspending”* to **“Team X used Y resources, costing \$Z, delivering A value.”**

THE VISIBILITY BLOCKERS

Five filters between us and a clear view



Inconsistent tagging

A significant portion of spend stays unallocated or misallocated.



Shared resources

Databases, Kubernetes clusters and networking resist clean attribution to one team.



Commitments & discounts

Reserved Instances and Savings Plans break attribution — list price $\neq$ price paid.



Multi-cloud estates

Each provider bills and reports differently; a unified view has to be constructed.



SaaS & marketplace spend

Invisible in cloud billing. Teams forget the subscriptions they signed.

“Different clouds report data differently, network traffic adds up fast, and Kubernetes or SaaS often hide who generated the spend.”

The foundation of all visibility



The challenge

“Tagging is the single most foundational habit for sustainable FinOps maturity. It is also the most frequently skipped.”



Define a global tag taxonomy

One master list, agreed across the business — aligned to business need, not just cloud ops.



Enforce tags at creation

Azure Policy, AWS Organizations tag policies, or Terraform. Retrofitting later is painful.



Start with showback

Show teams their spend, uncharged, for 4-6 weeks — gaps surface before money is on the line.



Monitor tag compliance

Dashboards that surface missing or incorrect metadata, tracked as a KPI.

Minimum viable tags

Environment

CostCenter

ApplicationID

Owner

Project

Attributing costs that belong to everyone

Shared databases, Kubernetes clusters and networking are the hardest costs to assign to a single owner.



Attribute-based allocation

Identify consumption at runtime and allocate on actual usage rather than an arbitrary key.



Define a splitting strategy

Pick one consistent method — proportional usage, team count, or a business metric — and publish it.



Start with showback

Report each team's share of shared cost without billing it. Builds awareness and surfaces disputes early.



Progress to chargeback

Bill teams on actual consumption once the usage patterns are understood and trusted.

“A thoughtful chargeback model often drives more intentional decisions and long-term discipline.”

Making the price we actually pay visible

Discounts obscure true attribution: the price shown on a resource is not the price the business paid.

60–80%

Target commitment coverage on stable, predictable workloads.



Separate discount from list price Show MSRP and the discounted price side by side, with the attributed saving alongside.



Attribute savings to the beneficiary If a team consumes the resources that earned the discount, that team should see the saving.



Track commitment coverage Know what share of steady-state spend sits under a commitment, and where the gaps are.



Monitor utilization An unused commitment is not a discount — it is prepaid waste.

A commitment nobody uses is the most expensive form of waste — it is locked in, and it is invisible on a list-price report.

SOLUTION 4 — MULTI-CLOUD VISIBILITY

One view across every provider

AWS Cost Explorer, Azure Cost Management and GCP Billing are capable — but each sees only its own silo.



Centralized platform

Ingest, normalize and enrich cost data from every provider into a single store.



Adopt the FOCUS standard

The FinOps Open Cost and Usage Specification normalizes cloud billing into a vendor-agnostic schema.



Unified dashboard

One place for analysis, reporting and optimization — across all clouds and vendors.

“FOCUS enables consistent reporting across vendors, so leadership can analyze the whole environment instead of looking at each cloud or vendor in a silo.”

Showback, then chargeback



Showback

The visibility
layer

Teams see their spend. No money changes hands.

Best for

- Early FinOps practice
- Tagging coverage of 70–85%
- Building awareness and trust



Chargeback

The real
consequence

Costs are billed back to business units and hit their P&L.

Best for

- Mature, trusted allocation
- Budget-owner accountability
- Driving behaviour change

Recommendation: start with showback to build tagging discipline and trust. Move to chargeback once allocation is accurate and finance is ready.

“Most teams skip this runway and pay for it later with a chargeback rollout that nobody trusts.”

What high-performing FinOps teams do

Drawn from the 2025 State of FinOps report — the practices that consistently precede durable savings.



Clean allocation

100% of spend allocated. No “unallocated” bucket left to argue about.



Daily visibility

Cost data refreshed daily, not monthly. Monthly is too slow to catch a regression.



Shared KPIs

One agreed set of metrics across finance and engineering, reviewed together.



Shift-left cost visibility

Cost checks during design and development — treated like performance and security.



Anomaly alerts

Real-time alerts routed to the owner of the spend, not to a shared mailbox.



Automated guardrails

Policy-as-code that prevents costly deployments before they happen.

Where to start

01

Set the tagging standard

Agree a consistent taxonomy before investing in dashboards.

02

Start with the biggest spend

Attack the largest categories first. Don't chase perfect granularity everywhere.

03

Get finance and engineering talking

Bring both into the conversation early, not as an afterthought.

04

Choose tools that fit the footprint

Native tooling for single-cloud; specialized platforms only for genuine multi-cloud.

Tooling options

Native

AWS Cost Explorer · Azure Cost Management · GCP Billing

Third-party

CloudHealth · Apptio · Vantage · nOps · Finout · CoreStack

Standard

FOCUS-compliant platforms for multi-cloud reporting

KEY TAKEAWAYS

Visibility is the foundation, not the goal

Visibility

enables accountability

Teams can only own what they can see.

Accountability

drives behaviour

Engineers make cost-conscious calls when they see the impact.

Behaviour

creates culture

Cost awareness becomes part of how we build, not a separate exercise.

Culture

sustains savings

Optimization becomes continuous rather than a one-time project.

“Organizations that invest in visibility first achieve more durable and targeted cost improvements than those that jump straight to cuts.”

Questions & discussion

FinOps: Gaining Visibility — the foundation of cloud financial management

Key contacts

_____	· Title
_____	· Title

Resources

FinOps Foundation	·	finops.org
FOCUS standard	·	focus.finops.org

